

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**COMPLAINANTS' RESPONSE IN OPPOSITION TO RESPONDENT'S
MOTION TO EXCLUDE EXPERT OPINIONS OF JOHN D. MCCOWN**

Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone,” collectively the “Complainants”), by their counsel, hereby file their response in opposition to CMA CGM S.A.’s (“CMA” or “Respondent”) motion to exclude expert opinions of John D. McCown (the “Motion” or “Mot.”), and in support thereof, state as follows:

INTRODUCTION

Complainants motion improperly conflates the standards for admissibility and credibility of expert testimony and should be denied.¹ The Presiding Officer, as the sole factfinder, is more than capable of determining the probative weight to be given to Mr. McCown’s opinion. Concerns that his expert opinion would unduly bias a jury are not present here.

Complainants note that Respondent failed to comply with the procedural requirements for filing a non-dispositive motion. Specifically, Respondent did not confer with Complainants in a good faith effort to determine whether there was opposition to the relief sought or, if so, to narrow the areas of disagreement, as required by 46 CFR § 502.71(a), FMC Rule 71. The first time Complainants became aware of this Motion was when Respondent filed it. Furthermore,

¹ Before addressing the substance of Respondent’s Motion, Complainants acknowledge that their response was filed five days after the deadline for responding to this non-dispositive motion. Complainants did not anticipate that Respondent would file three separate motions, including the instant Motion, just days before Complainants’ opening brief was due. In addition to preparing responses to Respondent’s motions to dismiss and the instant Motion, Complainants were compelled to file a motion to compel and extend discovery, as well as the briefing schedule. To the extent required, good cause exists to extend the deadline.

Respondent's Motion did not state what attempt, if any, was made to confer or whether the motion was opposed, in violation of the same rule. As a result, the Motion is procedurally improper. If it was proper, Complainants respectfully request that the Presiding Officer excuse their untimely response and accept their opposition to the Motion.

I. Complainants' August 12, 2022 expert report meets the expert disclosure requirements of Commission Rule 502.141(d)(2).

Complainants' expert report of John D. McCown ("McCown") complies with the expert disclosure requirements of Commission Rule 502.141(d)(2), as outlined below:

- a) The McCown Report contains a "complete statement of all opinions the witness will express and the basis and reasons for them." 502.141(d)(2)(i). McCown was engaged by Complainants to serve as their opinion expert on whether CMA acted unreasonably when it invoiced Complainants excessive demurrage, detention, per diem, and yard storage charges as referenced in Complainants Verified Complaint. **Respondent's Mot. Ex. 1** ("McCown Report") p. 1. The McCown Report goes on to describe how his methodology is based on his experience in the shipping industry, his monthly analyses on US container volume and quarterly analyses of overall container shipping industry financial results issued by him and followed by hundreds of industry and government policymakers. McCown Report pp. 1-2. The McCown Report further indicates that in addition to his experience and monthly/quarterly analyses, he also relies on the exhibit attached to his report, titled: Annual Benchmark Report: Demurrage & Detention Fees by Container xChange. McCown Report pp. 1-2 (See **Ex. 1** attached to McCown Report). McCown further explains how this methodology would arrive at his conclusion that Respondent acted unreasonably by explaining the proposed methodology and by indicating that he is prepared to be deposed and respond to any questions related to his opinion based on his aforementioned experience. McCown Report pp. 1-2.
- b) The McCown Report identifies "the facts or data considered by the witness." 502.141(d)(2)(ii). McCown indicates that the facts or data considered includes (1) his monthly analyses on US container volume and quarterly analyses of overall container shipping industry financial results issued by him and followed by hundreds of industry and government policymakers and (2) a report titled Annual Benchmark Report: Demurrage & Detention Fees by Container xChange, which compares the average detention and demurrage charge and the incidence of charges of the overall container shipping industry during the relevant period to Complainants actual experience related to its shipments with Respondent. McCown Report pp. 1-2.

- c) The McCown Report also identifies the exhibits that will be used as support. McCown Report pp. 1-2 (See **Ex. 1** attached to McCown Report).
- d) The McCown Report provides “the witness’s qualification, including a list of all publications authored in the previous 10 years.” 502.141(d)(2)(iv). McCown describes his professional experience. McCown Report p. 1-2. In an email to Respondent’s counsel dated July 29, 2024, Complainants also provided Respondent with a link to McCown’s biography (<https://centerformaritimestrategy.org/experts/john-d-mccown/>), which includes McCown’s educational background, publications and research areas. Complainants inadvertently failed to include McCown’s resume as an attachment to his report. His resume is attached to Complainants’ response to the Motion as **Exhibit A**.
- e) The McCown Report identifies any cases or proceedings during the previous 4 years in which McCown “testified as an expert in a trial, an administrative proceeding, or by deposition.” 502.141(d)(2)(v). McCown Report p. 3.
- f) The McCown Report contains a “statement of the compensation to be paid for the study and testimony in the proceeding.” 502.141(d)(2)(vi). The McCown Report identifies McCown’s compensation of \$450 per hour and notes that his compensation is not dependent on any findings or on the outcome of this matter. McCown Report p. 3.

Respondent complains but do not establish that the McCown Report fails to meet the disclosure requirements of 502.141(d)(2). Indeed, the plain language of the McCown Report and its exhibit directly rebut Respondent’s assertions. Respondent’s motion should be denied.

II. Respondent’s motion conflates the standards for admissibility with credibility of expert testimony.

Under Federal Rule 702, the Court serves as the “gatekeeper” of expert testimony by ensuring that an expert’s testimony both rests on reliable foundation and is relevant to the task at hand. *Daubert v. Merrell Dow Pharm.*, 509 U.S. 579, 597 (1993). To be qualified, the witness must have specialized knowledge. *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994). See also *OJ Commerce v. Hamburg, et al.*, FMC Docket No. 21-11, 2023 WL 3969857 at *41 (ALJ June 7, 2023) (“[the expert] performing certain analyses does not disqualify the analyses; however, the source of calculations will be taken into account in terms of weight.”).

Respondent's motion is actually a substantive attack on McCown's qualifications and opinion, which is not proper in the context of a *motion in limine* or motion to exclude. *See Talmage v. Harris*, 354 F. Supp. 2d 860, 868 (W.D. Wis. 2005). Respondent's substantive arguments are meritless because they attack the credibility of McCown's opinion and not its admissibility.

Respondent argues that McCown "overlooks multiple factors essential for determining whether any specific charges were unreasonable, including variations in service contract terms; differences in ports; differences in regions; [etc.]..." **Mot. p. 6**. It further contends that the exhibit McCown relies on as part of his report is not reliable. **Mot. p. 9**. Questions relating to the bases and sources of an expert's opinion affect the weight to be assigned that opinion rather than the admissibility. *Viterbo v. Dow Chem. Co.*, 826 F.2d 420, 422 (5th Cir.1987). Respondent claims that the McCown Report should be stricken pursuant to 502.141(d)(2)(i)-(ii)² because McCown's report is deficient, as it fails to consider "all variables." **Mot. p. 5-7**. As a result, Respondent claims that McCown's report is unhelpful. *Id.* Respondent's claim, however, identifies the very issue that must be determined by the Presiding Officer in this proceeding – how much weight and credibility to accord the McCown report, but not the admissibility of that report. *See, e.g., Talmage*, 354 F. Supp. 2d at 861-862 (arguments challenging certified public accountant expert's methodology to compute damages "go not to the admissibility of [expert's] opinions but to their weight and credibility.").

Respondent further argues the McCown is not qualified to opine about maritime billing practices. **Mot. p. 11**. Disputes as to the strength of McCown's credentials and specialization (or alleged lack thereof) also go to the weight and credibility of McCown's opinions, not their admissibility. *McCulloch v. H.B. Fuller Co.*, 61 F.3d 1038, 1043 (2d Cir.1995) ("quibble" with

² Respondent's substantive attack on McCown's proposed methodology also contradicts Respondent's claim that the McCown Report does not satisfy the disclosure requirement. An expert report is not deficient under 502.141(d)(2)(i) simply because Respondent does not agree with the stated opinions.

expert's lack of academic training in fume dispersal and air quality studies and other alleged shortcomings were "properly explored" on cross-examination and went to expert testimony's weight and credibility—not admissibility). When analyzing the admissibility requirements for expert witnesses under Fed. R. Evid. 702, which "mandates a policy of liberal admissibility," federal courts have consistently rejected the argument Respondents attempt to advance here: that an expert witness is not qualified simply because he or she is lacking in specialization. *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994). *See also Quinton v. Farmland Indus.*, 928 F.2d 335, 337–38 (10th Cir. 1991) (veterinarian need not be specialist in toxicology to testify on toxic effect of substance on dairy cows); *Lavespere v. Niagara Machine & Tool Works, Inc.*, 910 F.2d 167, 176–77 (5th Cir.1990) (in products liability action against manufacturer of press brake, witnesses may testify on safety of brake design despite lack of personal design experience); *Exum v. General Electric*, 819 F.2d 1158, 1163–64 (D.C.Cir.1987) (registered engineer experienced in industrial safety and product design, but lacking any specific expertise in kitchen design, qualified to testify in products liability action against manufacturer of industrial fryer); *Dixon v. International Harvester Co.*, 754 F.2d 573, 580 (5th Cir.1985) (design engineer may provide expert testimony on safety of crawler tractor in product liability action against manufacturer despite lack of prior experience approving crawler tractor designs); *Martin v. Fleissner GMBH*, 741 F.2d 61, 64 (4th Cir.1984) (mechanical engineers were qualified to present expert testimony in product liability action against manufacturer of synthetic fiber crimper although they lacked previous background in either crimpers or the textile industry); *Hammond v. International Harvester Co.*, 691 F.2d 646, 653 (3d Cir.1982) (witness who had sold automotive and agricultural equipment and taught automobile repair at local high school could render expert opinion on safety of loader despite lack of formal education in either engineering or physics).

Respondent's complaints go to the weight and credibility of McCown's opinion, not its admissibility. Mr. McCown has worked in container shipping, holding executive positions for nearly 30 years. Accordingly, Respondent's Motion should be denied.

III. Respondent's motion is premature.

Pursuant to the Presiding Officer's revised scheduling order entered on August 5, 2024 (the "Revised Scheduling Order"), the parties were supposed to complete depositions of fact and expert witnesses by August 30, 2024. Yet, Respondent never responded to Complainants' requests to take the deposition of a corporate representative, or requested to take the deposition of a Complainants' corporate representation, or McCown's deposition to question all of the concerns Respondent outlines in its Motion. In fact, since Complainants served McCown's report on August 12, 2024, Respondent never contacted Complainants expressing any concerns about McCown's report. Complainants first learned of Respondent's issues with McCown's report when Respondent filed the instant Motion on August 30, 2024.

Because Respondent failed to comply with the Revised Scheduling Order's deadlines, Complainants have requested a motion to extend discovery and the briefing schedule until Respondent complies with Complainants' deposition requests. *Impact Products, LLC and Safety Zone, LLC v. CMA CGM S.A.*, Proceeding No. 24-07, Doc. No. 18 (August 30, 2024). If the Presiding Officer grants Complainants' motion to extend discovery and the briefing schedule, Respondent will have sufficient time to depose McCown and question him about all of the concerns it notes in this Motion. Questions regarding McCown's qualifications, methodology, publications, compensation, and prior testimony can easily be addressed in McCown's deposition should Respondent decide to take his deposition. McCown will need to supplement his opinion to account for the information and documents that are produced in relation to these depositions.

CONCLUSION

Respondent's motion is contradicted by the plain language of the McCown Report and is substantively and procedurally premature. Respondent's substantive attacks on the McCown Report are improper in the context of a *motion in limine* as they go to the credibility, not admissibility, of McCown's opinion. Respondent's motion is procedurally premature because fact discovery may remain ongoing if the Presiding Officer decides to grant Complainants' motion to extend discovery and the briefing schedule, and Complainants should be allowed to supplement their disclosure following the completion of fact discovery. The McCown Report satisfies the requisite disclosure requirements, and Respondent has not provided any justification for the Commission to take the drastic measure of striking the McCown Report and barring Complainants from presenting any expert testimony. Respondent's motion should therefore be denied.

Dated: September 11, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on September 11, 2024, a true and correct copy of the foregoing **Complainants' Response in Opposition to Respondent's Motion to Exclude Expert Opinions of John D. McCown** was served by email on all counsel of record in accordance with 46 CFR Part 502.

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